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ANNEX F: ACCOUNTING POLICIES & FINANCIAL REPORTING MANUAL

Zarewa Aluminium and Plastics Ltd — System of Operations v3.0

Authority: Finance Manager + MD approval

Reference: docs/ACCOUNTING_POLICY_AP1C.md,
docs/ACCOUNTING_POLICY_AP3_COSTING.md

F.1 ACCOUNTING POLICY OVERVIEW

Zarewa operates a three-phase accounting model implemented in the ERP:

Phase	Name	Status	Key Principle
AP1c	Production Recognition	Active (Policy V1)	Revenue at production completion
AP2	Received-Basis AP + Inventory	Active	Payables at GRN; landed cost inventory
AP3	Branch P&L + Material Costing	Progressive rollout	Standard vs actual cost per job

Phases are additive: AP3 requires AP2 requires AP1c.

F.2 POLICY V1 — REVENUE RECOGNITION (AP1c)

F.2.1 Principle

Revenue is recognised when the company has completed production of goods for the customer — not when: - Cash is received (cash basis) - Goods are delivered (delivery basis) - Invoice is issued (invoice basis)

F.2.2 Journal Entries

At production job completion:

Dr Accounts Receivable (customer sub-ledger)	XXX
Cr Sales Revenue (4000)	XXX

Amount = produced metres × agreed unit price (from quotation snapshot).

At receipt clearance:

Dr Cash/Bank (1000)	XXX	
Cr Accounts Receivable		XXX

At customer advance receipt (before production):

Dr Cash/Bank (1000)	XXX	
Cr Customer Advances (2500)		XXX

At advance applied to quotation:

Dr Customer Advances (2500)	XXX	
Cr Accounts Receivable		XXX

F.2.3 Implications for Management Reporting

Report	What It Shows
Sales (produced, MTD)	Revenue from completed jobs — may exceed cash collected
Cash & bank (cleared)	Actual money in treasury
AR as-at	Customers who owe after production recognition
Sales bridge	Reconciles quote – production – cash

MD and BM must understand: Strong production month may show high revenue before cash collection follows.

F.2.4 Refund Interaction with AP1c

Refunds reduce customer AR balance. If refund for unproduced metres after revenue recognised: - Refund reverses portion of recognised revenue - GL impact via refund posting workflow - Production alignment check ensures metres claim matches job records

F.3 AP2 — RECEIVED-BASIS ACCOUNTS PAYABLE**F.3.1 Principle**

Supplier liabilities recognised at goods receipt (GRN), not at payment date.

F.3.2 Journal at GRN

Dr Inventory (1300)	XXX	
Cr Accounts Payable — Suppliers (2000)		XXX

At landed cost including allocated carriage inward.

F.3.3 Supplier Payment

Dr Accounts Payable (2000)	XXX	
Cr Cash/Bank (1000)		XXX

F.3.4 Supplier Advances

Pre-payment before GRN:

Dr Supplier Advance (asset/sub-ledger)	XXX
Cr Cash/Bank (1000)	XXX

On GRN, advance applied:

Dr Accounts Payable (2000)	XXX
Cr Supplier Advance	XXX
Cr Cash/Bank (if balance due)	XXX

F.3.5 AP2 Diagnostics

Monthly run from Accounting desk: - Unmatched supplier advances - GRNI aging (received not paid) - Inventory GL alignment check

F.4 AP3 — MATERIAL COSTING AND BRANCH P&L

F.4.1 Purpose

Allocate true production cost per metre for branch profitability analysis.

F.4.2 Cost Components per Production Job

Component

Coil material

Accessories

Stone flatsheet

Direct labour

Overhead allocation

F.4.3 Standard vs Actual

Metric

Standard cost/m

Actual cost/m

Variance

Variance %

Report: Accounting → AP3 → Material cost report.

F.4.4 Branch P&L Structure

Line

Revenue

COGS

Gross profit

Operating expenses

Net branch contribution

Note: Inter-branch loans and HQ allocations may require manual adjustment entries.

F.5 INVENTORY VALUATION

F.5.1 Coil Inventory

- Valued at landed cost per kg
- $\text{qty_remaining} \times \text{unit cost/kg}$
- Month-end snapshot: inventory_coil_snapshots

F.5.2 Finished Goods

- Standard cost or last production cost per SKU
- inventory_product_snapshots at month-end

F.5.3 WIP

- Open production jobs: coil cost in WIP balance
- Closed at job completion to COGS

F.5.4 Closing Stock Entry

At stock register lock:

Dr Inventory — Closing (1300)	XXX
Cr COGS / Purchases (5050)	XXX

Or reverse for opening. Finance Manager determines exact mapping per period.

F.6 FIXED ASSET ACCOUNTING

F.6.1 Capitalisation Threshold

Expenditure capitalised as fixed asset when: - Category is capex (Land, Plant, Furniture, Generator) - Amount exceeds materiality threshold (per finance policy) - Future economic benefit > 1 year

Auto-capitalisation on full payment for configured capex expense categories.

F.6.2 Depreciation Methods

Straight-line over useful life: - Plant & machinery: 60 months - Land & buildings: 240 months - Furniture: 84 months - Generator: 60 months

F.6.3 Disposal Accounting

Dr Accumulated Depreciation	XXX
Dr Cash (proceeds)	XXX
Dr Loss on disposal (if loss)	XXX
Cr Asset cost (150x)	XXX
Cr Gain on disposal (if gain)	XXX

F.7 CUSTOMER LEDGER ACCOUNTING

F.7.1 Ledger Entry Types

Type

RECEIPT

ADVANCE_IN

ADVANCE_APPLIED

ADVANCE_REFUND

OVERPAY_ADVANCE

OVERPAY_APPLIED

REFUND_*

F.7.2 Quotation paid_ngn Derivation

Critical rule: quotations.paid_ngn derived **only from sales receipts** — not bank reconciliation directly.

Function: syncQuotationPaidFromReceipts — run if discrepancy suspected.

F.7.3 Customer Statement

Generated from customer dashboard ledger history: - Opening balance - Production recognition (AR increase) - Receipts (AR decrease) - Refunds - Closing balance

F.8 TREASURY ACCOUNTING

F.8.1 Treasury Movement Sources

source_kind

RECEIPT

REFUND_PAYOUT

EXPENSE

SUPPLIER_PAYMENT

TRANSFER

PAYROLL

INTER_BRANCH

F.8.2 Treasury Balance

Each treasury_accounts record maintains running balance from cleared movements.

Daily check: Sum of treasury accounts = GL 1000 balance (after reconciliation).

F.9 FINANCIAL REPORTING CALENDAR

Report

Daily pack

Cash position

Weekly pack

Branch scorecard

Trial balance

Management accounts

AR aging

AP aging

Stock valuation

Payroll summary

Annual accounts

F.10 CHART OF ACCOUNTS MAINTENANCE

New GL accounts require: 1. Finance Manager proposal with account code, name, type 2. MD approval for income statement impact 3. IT/Admin seeds in gl_accounts table 4. Update expense category mapping if applicable 5. Update this SOP appendix

No user-created GL accounts without Finance Manager authority.

F.11 PERIOD CLOSE DETAILED CHECKLIST

Day T-5 (Before Month End)

- ☐ Notify all branches: no backdated posts after T+2 without approval
- ☐ Chase open GRNs — post all received goods
- ☐ Chase open production jobs — complete or document WIP carry
- ☐ HR confirms payroll data final if pay period

Day T (Last Business Day)

- ☐ Final receipts and payments posted

- ☐ Operations completes deliveries in transit
- ☐ Stock register physical count begins

Day T+1 to T+3

- ☐ Stock register 4-stage sign-off
- ☐ Bank reconciliation completed
- ☐ Depreciation run
- ☐ AP2/AP3 diagnostics
- ☐ Manual accrual journals

Day T+5 (Target)

- ☐ Trial balance review
 - ☐ MD reviews branch scorecard
 - ☐ **Period lock**
 - ☐ Reports pack distributed
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F.12 TAX AND STATUTORY FILING

Obligation

PAYE remittance

Pension remittance

VAT (if applicable)

WHT certificates

Annual tax return

End of Annex F — Accounting Policies